

recognized as profitable and proper policy to use a conservative amount of banking accommodation for seasonal needs rather than to finance operations entirely by owners' capital.

Corporate Practices Resulting in Shortage of Sound Industrial Bonds.

Furthermore, just as it is desirable from the bank's standpoint that sound businesses borrow seasonally, it is also desirable from the standpoint of investors generally that strong industrial corporations raise an appropriate part of their capital through the sale of bonds. Such a policy would increase the number of high-grade bond issues on the market, giving the bond investor a wider range of choice and making it deservedly difficult to sell unsound bonds. Unfortunately the practice of industrial corporations in recent years has tended to produce a shortage of good industrial bond issues. Strong enterprises have in general refrained from floating new bonds and in many cases have retired old ones. But this avoidance of bonded debt by the strongest industrial companies has in fact produced results demoralizing to investors and investment policies in a number of ways. The following observations on this point, written in 1934, are still applicable in good part:

1. It has tended to restrict new industrial-bond financing to companies of weaker standing. The relative scarcity of good bonds impelled investment houses to sell and investors to buy inferior issues, with inevitably disastrous results.
2. The shortage of good bonds also tended to drive investors into the preferred-stock field. For reasons previously detailed (in Chap. XIV) straight preferred stocks are unsound in theory, and they are therefore likely to prove unsatisfactory investment media as a class.
3. The elimination (or virtual elimination) of senior securities in the set-up of many large corporations has, of course, added somewhat to the investment quality of their common stocks, but it has added even more to the investor's demand for these common stocks. This in turn has resulted in a good deal of common-stock buying by people whose circumstances required that they purchase sound bonds. Furthermore it has supplied a superficial justification for the creation of excessive prices for these common stocks; and finally it contributed powerfully to that confusion between investment motives and speculative motives which during 1927-1929 served to debauch so large a proportion of the country's erstwhile careful investors.